

COVERAGE ANALYSIS

April 28, 2026 | step270PRE v1.1.3

DOCUMENT OVERVIEW

Single-document coverage analysis -- no reference template

Parties: MERIDIAN COMMERCIAL PROPERTIES LLC (Landlord) / WELLNESS PLUS PHARMACY LLC (Tenant)

Property: 4500 Commerce Boulevard, Fairfield, State of Columbia

Lease Type: Retail / Shopping Center

Term: 5 years (Commencement Date (as specified in Section 4.1) -- 5 years after the Commencement Date)

Renewal: One (1) additional period of five (5) years

Rent: \$19,600.00

Escalation: 3% annually

Security: Three (3) months' Base Rent

CAM/OpEx: Triple net lease; Tenant pays Proportionate Share of CAM Charges

Permitted Use: Retail business for the operation of a licensed pharmacy and the sale of health and wellness products

Key Terms:

- 5-year initial term with one 5-year renewal option.
- Base rent of \$19,600.00/month with 3% annual compounding escalation.
- Triple net lease structure where tenant pays proportionate share of CAM charges.
- Tenant granted exclusive right to operate a pharmacy and health/wellness business in the center.
- Early termination right after 2nd Lease Year with 180 days' notice and 6 months' rent fee.

RUN SYNOPSIS

5 require attention, 6 worth reviewing, 7 covered (across 18 issue areas analyzed)

PROVISION CHECKLIST

✗ Needs Attention: LP-07 Common Area Maintenance (CAM), LP-09 Subletting & Assignment, LP-11 Default & Remedies, LP-13 Indemnification & Liability, LP-14 Force Majeure

■ Worth Reviewing: LP-02 Rent Escalation, LP-03 Lease Term & Renewal, LP-08 Insurance Requirements, LP-10 Alterations & Improvements, LP-12 Early Termination, LP-17 Dispute Resolution

✓ Covered: LP-01 Rent & Payment Terms, LP-04 Security Deposit, LP-05 Permitted Use, LP-06 Maintenance & Repairs, LP-15 Signage Rights, LP-16 Parking, LP-18 Holdover Provisions

COVERAGE & GAPS

The following provisions were present but incomplete, unfavorable, or missing entirely.

[!] **LP-07 LP-07** — UNFAVORABLE TERMS

Missing: excluded expense categories

Tenant faces potentially unlimited and unpredictable CAM charges because the proportionate-share math, what costs get included, and any annual increase cap are not tenant-favorable. Tenant also has no ability to audit or challenge the pass-throughs, so landlord controls the billing with little risk of correction or refund.

[!] **LP-09 LP-09** — INCOMPLETE

Missing: recapture right (landlord can terminate and lease directly), assignment in connection with sale of business

Landlord can recapture the space when Tenant seeks to sublet or assign, cutting off Tenant's ability to monetize the lease and forcing a sudden exit. Tenant also has no clear ability to assign the lease as part of a business sale, which can derail or devalue a routine transaction and leave Tenant stuck with ongoing rent liability.

[!] **LP-11 LP-11** — INCOMPLETE

Missing: tenant's right to cure third-party defaults

Tenant has no clear right to step in and cure a vendor or other third-party default that could trigger lease defaults or service interruptions, so Tenant can lose critical operations or face remedies while lacking a contractual path to fix the problem directly. Landlord retains control over whether and when to address those third-party failures, leaving Tenant to absorb the business impact.

[!] **LP-13 LP-13** — INCOMPLETE

Missing: cap on liability (if any)

Tenant faces uncapped indemnity and liability exposure, so a single claim (including third-party injury or property damage) can create open-ended costs for defense, settlements, and judgments. Landlord has no stated reciprocal limit, shifting disproportionate financial risk to Tenant.

[!] **LP-14 LP-14** — UNFAVORABLE TERMS

Missing: partial rent abatement or adjustment for operational impairment

Tenant bears the risk of disruptions that impair operations but don't render the space wholly untenable, so it can be forced to keep paying full rent during utility outages, access restrictions, or regulatory shutdowns with no partial abatement. Tenant also has limited protection because the qualifying events and which obligations are excused are narrowly defined, increasing the chance the Landlord can insist on performance despite a force majeure event.

[~] **LP-02 LP-02** — INCOMPLETE

Missing: escalation cap or ceiling, calculation methodology

No rent escalation mechanism; landlord bears full inflation risk or tenant bears uncapped exposure

[~] **LP-03 LP-03** — INCOMPLETE

Missing: rent at renewal (formula or fair market value mechanism)

Term and renewal rights unclear; tenant may lose right to remain in premises or face holdover penalties

[~] **LP-08 LP-08** — INCOMPLETE

Missing: waiver of subrogation

Insurance obligations undefined; landlord has no protection against tenant-caused losses and no subrogation waiver

[~] **LP-10 LP-10** — INCOMPLETE

Missing: landlord contribution to tenant improvements (if any)

Alteration rights undefined; tenant faces removal obligation uncertainty and potential forfeiture of improvement investment

[~] **LP-12 LP-12** — INCOMPLETE

Missing: unamortized tenant improvement cost recovery, co-tenancy termination trigger (if applicable)

No early exit right; tenant bears full term obligation regardless of operational changes

[~] **LP-17 LP-17** — INCOMPLETE

Missing: time limit for bringing claims

Dispute framework absent; attorney fee allocation and venue undefined, creating uncertainty in enforcement cost

RUN DETAILS

Models Used:

Extraction: Gemini 3.1 Pro (Google)

Processing: 6 API calls total, 3.6 minutes

Pipeline: CAM v2.5.3 -- Constrained Assertion Method

Analysis mode: Analyze (coverage & gaps)

This report was generated by CAM (Constrained Assertion Method). Patent Pending. This is a diagnostic tool and does not constitute legal advice.